

Nonprofit Financial Planning, Scenario Forecasting and Impact Measurement

Management report | Upwardly Global (EIN 94-3346127) | analysis as of FY2024 Form 990, filed 2025-10-17

\$28.6M	\$10.3M	78.5%	24 mo	2.18x	\$9,597
FY2024 revenue	Operating result	Program ratio	Liquid runway	Net assets / expenses	Cost per outcome

The question

How should a nonprofit allocate limited funding across its programs while remaining financially sustainable and maximising measurable impact? For this organization the question arrives in an unusual form. It is not short of money. It has run six consecutive operating surpluses, holds net assets of \$39,907,054 against annual expenses of \$18,275,646, and could absorb a total collapse in institutional funding for several years without cutting a single program. The financial planning problem here is not survival. It is that a revenue surge driven by circumstances outside the organization's control has left it with a cost base sized to funding that is unlikely to repeat, and a balance sheet large enough to disguise how long that has been true.

1. What the last six years actually did

Revenue grew from \$6,750,061 in FY2019 to \$28,580,411 in FY2024, a compound rate of 33.5% a year. Almost all of it came through contributions, which compounded at 31.8%. The two years that matter are FY2021 and FY2022, when revenue rose 70.7% and then 61.2% as humanitarian response funding arrived following the Afghanistan and Ukraine displacement crises. That funding was real, it was well used, and it was episodic.

Expenses grew too, but more slowly - 27.0% a year against 33.5% for revenue. The gap compounded into \$36,670,589 of cumulative surplus across six years and lifted net assets from \$4,454,383 to \$39,907,054, a ninefold increase. Every year in the period was a surplus year.

Year	Revenue	Expenses	Result	Program ratio	Liquid runway	Net assets / expenses
FY2019	\$6,750,061	\$5,531,091	\$1,218,970	76.2%	7.7 mo	0.81x
FY2020	\$7,016,304	\$5,670,504	\$1,345,800	76.8%	11.5 mo	1.02x
FY2021	\$11,973,523	\$6,893,690	\$5,079,833	77.4%	18.0 mo	1.58x
FY2022	\$19,305,952	\$9,316,393	\$9,989,559	78.0%	25.9 mo	2.24x
FY2023	\$22,391,041	\$13,659,379	\$8,731,662	78.3%	23.5 mo	2.17x
FY2024	\$28,580,411	\$18,275,646	\$10,304,765	78.5%	23.8 mo	2.18x

Source: IRS Form 990, FY2019 to FY2024. Program ratio, runway and net asset multiple depend on the modelled functional expense split and balance sheet composition; the revenue, expense and net asset figures are as filed.

Stewardship is not the problem

On every conventional measure of nonprofit stewardship this organization is comfortable. The program expense ratio finished FY2024 at 78.5% against a BBB Wise Giving Alliance minimum of 65%. Fundraising cost 6.7 cents per dollar raised against a 35 cent ceiling - a return of 15.0 dollars raised per dollar spent. The administrative ratio is 12.0%. Charity Navigator rates the organization four stars at 96%. None of these ratios are where the risk sits, and a board that spends its finance committee time on them is looking in the wrong place.

The measure that does carry a warning is accumulation. Net assets stand at 2.18 times annual expenses. BBB Standard 10 asks that unrestricted net assets available for use not exceed three times annual expenses. The organization is not in breach, but it has moved from 0.81x to 2.18x in six years, and the direction of travel is toward the line rather than away from it.

2. FY2024 against plan: the variance that matters

No public FY2024 budget exists, so one has been reconstructed on stated assumptions and is labelled a simulation throughout 04_Budget_vs_Actual.xlsx. The reconstruction assumes a board approving 12% revenue growth and 26% expense growth in late FY2023 - cautious on income after two extraordinary years, deliberately expansionary on spending to deploy accumulated reserve. What the variances show is more interesting than the plan.

Line	Budget (simulated)	Actual (filed)	Variance	Variance %	
Total revenue	\$25,077,966	\$28,580,411	+\$3,502,445	+14.0%	F
Contributions and grants	\$23,195,073	\$26,008,174	+\$2,813,101	+12.1%	F
Investment and other income	\$688,827	\$1,429,021	+\$740,194	+107.5%	F
Total expenses	\$17,210,818	\$18,275,646	+\$1,064,828	+6.2%	U
Program services	\$13,476,070	\$14,346,382	+\$870,312	+6.5%	U
Operating result	\$7,867,148	\$10,304,765	+\$2,437,617	+31.0%	F
Participants served	10,283	10,786	+503	+4.9%	F
Successful outcomes	1,524	1,495	-29	-1.9%	U

Revenue beat plan by \$3,502,445, 14.0%. Before treating that as a fundraising success, note that \$740,194 of it - 21% of the total beat - is investment income on the accumulated reserve, running 107.5% above plan. That is a balance sheet outcome and it will reverse when markets do.

Program spending exceeded budget by \$870,312. Decomposed, 76% of that overrun is volume - the organization served 10,786 participants against a plan of 10,283 - and the remaining \$211,347 is rate, with cost per participant coming in 1.5% above plan at \$1,330. Program expense exceeded budget primarily because participant acquisition ran ahead of the planned expansion, not because delivery became materially more expensive.

The finding

In the same year that the organization served 503 more participants than planned, it produced 29 **fewer** successful outcomes - 1,495 against a plan of 1,524. The outcome rate fell from the 14.8% assumed in the budget to 13.9%. Had the planned conversion rate held across the actual participant base, the organization would have produced roughly 1,599 placements. The shortfall of about 104 placements is what the mix shift cost.

That combination - more reach, fewer placements - is a mix problem rather than a cost problem, and cost discipline will not fix it. Growth came disproportionately through lower-converting channels. Reach is a means, and it was reported as though it were the end.

3. Program economics: which programs are most cost-effective

The four-program portfolio below is an analyst construction. Participant, outcome and cost totals reconcile exactly to the FY2024 figures derived from public data, but the split across programs is assumed and no public data exists to validate it. What follows should be read as a demonstration of how a portfolio like this behaves rather than a measurement of how these particular programs perform.

Program	Participants	Outcomes	Outcome rate	Cost / participant	Cost / outcome	Gain / \$
Career Coaching	2,050	861	42.0%	\$3,849	\$9,164	6.66x
Digital Learning	7,395	333	4.5%	\$300	\$6,667	5.55x
Credential Support	700	217	31.0%	\$4,200	\$13,548	6.50x
Partner Capacity	641	83	12.9%	\$2,022	\$15,619	2.98x
Portfolio	10,786	1,494	13.9%	\$1,330	\$9,603	

Digital Learning produces a placement for \$6,667 against \$15,619 for Partner Capacity - a 2.3 times difference. On cost per placement alone the allocation decision looks settled. It is not.

Digital Learning converts 4.5% of its enrolled participants, and the placements it produces carry an average earnings gain of \$37,000. Credential Support converts 31.0% at \$88,000 of gain - 2.4 times as much income mobility per person placed. Measured on earnings gain generated per dollar spent, Career Coaching leads at 6.66 times. Cost per placement and value per placement point in different directions, and no further analysis resolves that. It is a choice about what the organization is for.

Partner Capacity is the weakest program on every financial measure: \$15,619 per placement, an outcome rate of 12.9%, and the lowest capacity utilisation at 43%. Its case rests on sector leverage and on outcomes delivered through partners that this model attributes at a discount. That case may be sound, but it is a strategic argument and should be made explicitly rather than averaged into the portfolio.

On social return

A social return figure can be calculated and is, in 06_Program_Economics.xlsx. At the stated parameters the portfolio ratio is 5.24 to one. It is not quoted as a headline here because varying just two of the six parameters across plausible ranges moves it between 1.61 and 9.38 - a spread of 5.8 times. There is no counterfactual, no comparison group and no study behind the attribution and deadweight assumptions. Cost per successful outcome rests on far fewer assumptions and is the measure management should steer on.

4. Forecast and scenarios: how much growth can funding support

The forecast runs five years rather than three. Three years is too short for this organization: reserves absorb almost any shock over that horizon, so a three-year model would report no problem for a structural deficit that becomes serious later. The Base case assumes foundation and government funding decline as the humanitarian response normalises. A base case that extrapolated the surge would be forecasting the past.

Scenario	FY2029 revenue	FY2029 expenses	FY2029 result	Liquid runway	Outcomes
Downside	\$10,308,162	\$17,313,740	\$-7,005,578	18.4 mo	985
Base	\$26,341,677	\$27,925,324	\$-1,583,647	22.7 mo	1,999
Upside	\$47,671,483	\$33,671,222	\$14,000,261	33.0 mo	2,634

The central finding of the forecast. On Base case assumptions the organization crosses into structural deficit in FY2029, 5 years from the last filed year, with a deficit of \$1,583,647. This is not a crisis projection. It is the arithmetic of a cost base that grows with program volume while foundation and government funding normalise after an episodic surge. Closing that gap requires contributions roughly 6.2% above the Base case trajectory, or an equivalent reduction in the rate of expense growth.

Reserves absorb all three cases comfortably. Liquid runway ends the horizon at 18 months even in the Downside case. The balance sheet is not the constraint; the income statement is. That distinction changes the remedy from cost-cutting to funding diversification, and it is the single most useful thing this model has to say.

5. How vulnerable is the organization to losing a major funder

Permanent funding cut	FY2029 structural result	Liquid runway	Years to reserve floor	Program capacity retained
0%	\$-1,583,647	22.7 mo	9 yrs	100%
10%	\$-4,119,478	17.5 mo	8 yrs	100%
20%	\$-6,655,310	12.2 mo	7 yrs	100%
30%	\$-9,191,141	6.8 mo	6 yrs	100%
40%	\$-11,726,973	6.0 mo	5 yrs	72%
50%	\$-14,262,804	6.0 mo	4 yrs	53%

The answer is that the organization is remarkably resilient in the short run and structurally exposed in the long run, and these are easy to confuse. A permanent 20% cut in contributions still leaves 12 months of liquid runway at FY2029 and forces no program cuts within the five-year window. It also produces a structural deficit of \$6,655,310 and exhausts the usable reserve in 7 years. Reserves buy time; they do not close a structural gap.

Losing the single largest funder - modelled at 18% of total revenue, \$4,972,134 in the first year - moves the reserve floor from 9 years out to 7 years out and widens the FY2029 deficit to \$6,599,577. No program cut is forced inside five years. The honest framing for a board is not that this would be survivable, which it plainly would be, but that it would consume two years of the runway available to fix a problem that already exists.

Funding can fall 31.6% before the six-month reserve floor is reached within five years - equivalent to first-year contributions of \$17,198,263 against a Base case \$25,136,900, or \$7,938,637 of headroom. That is the minimum funding level required to maintain operations on the current cost base over the planning horizon.

6. Where should incremental funding be allocated

An incremental \$1,000,000 was allocated across the four programs subject to minimum and maximum share limits, delivery capacity ceilings, staff hour availability and a 12% administrative load. The problem was solved three times under three objectives, because they disagree.

Objective	Career Coaching	Digital Learning	Credential Support	Partner Capacity	Placements	Avg gain
Maximise placements	\$308,000	\$484,000	\$44,000	\$44,000	112	\$45,898
Balanced (quality floor)	\$384,902	\$407,098	\$44,000	\$44,000	109	\$48,000
Maximise earnings gain	\$484,000	\$44,000	\$308,000	\$44,000	85	\$65,879

Maximising placement count delivers 112 additional placements at an average earnings gain of \$45,898 each. Maximising earnings gain delivers only 85 placements - 27 fewer - but at \$65,879 of gain each and \$444,314 more earnings gain in total. Same money, same constraints, materially different programs funded.

The recommended allocation is the balanced case. Holding placement count as the objective while requiring an average gain of at least \$48,000 per placement yields 109 placements - only 3.1 fewer than the placement-maximising answer - while lifting average gain from \$45,898 to \$48,000. Roughly 2.8% of placement count buys a 5% improvement in placement quality.

All three optimised answers beat the two default policies. An equal split across programs delivers 87 placements and a pro rata roll-forward of current program size delivers 92, against 112 for the optimised allocation. Doing this analysis at all is worth roughly 21 additional placements a year against the most likely default.

One caution. The model assumes marginal cost per outcome stays at current average cost as programs expand. Real expansion faces rising marginal cost because the easiest-to-serve participants are already being served, and the effect is strongest in the cheapest program. The linear model therefore overstates the case for concentration, which is a further reason to prefer the balanced allocation over the corner solution.

7. Recommendations

- **Set an explicit reserve policy and a deployment schedule.** Net assets sit at 2.18 times annual expenses against a BBB accumulation ceiling of three times. A seventh consecutive surplus would raise a legitimate donor question. The board should adopt a target reserve range in months of expenses, and commit the excess above it to a multi-year program expansion with dated milestones.
- **Treat FY2029 as the planning horizon, not FY2027.** The Base case turns to deficit in FY2029 and the usable reserve is exhausted around FY2033. Both dates are far enough away to be ignored and close enough to matter. Closing the structural gap needs contributions roughly 6.2% above trajectory, and fundraising capacity of that size takes years to build.
- **Diversify away from institutional funding.** On the modelled mix, foundation and government funding together account for 63% of contributions, and these are the categories most exposed to the humanitarian response cycle. Individual giving, the most durable category, is the smallest. Shifting that balance is the single highest-value use of the reserve.
- **Report placements, not reach.** FY2024 served 503 more participants than planned and produced 29 fewer placements. Management reporting should lead with outcome rate and cost per successful outcome by program, with participant counts as a secondary measure.
- **Adopt the balanced allocation and set the quality floor explicitly.** Fund the balanced case: \$384,902 to Career Coaching, \$407,098 to Digital Learning, and the minimum share to Credential Support and Partner Capacity. More importantly, make the earnings-gain floor a stated board policy rather than an emergent property of where the marginal dollar landed.
- **Require a defence of Partner Capacity on its own terms.** At \$15,619 per placement and 43% capacity utilisation it is the weakest program financially. If it is retained for sector-leverage reasons, that case should be documented and given its own success measures rather than being judged on metrics it was never designed to win.

What would change these conclusions

The program-level analysis rests on a synthetic portfolio. If the real distribution of cost and outcomes across programs differs materially from the assumed one, sections 3 and 6 change and the allocation recommendation may reverse. The functional expense split is modelled rather than filed, so the program, administrative and fundraising ratios in section 1 would move if the actual Part IX split differs from the assumption. The structural deficit date in section 4 is sensitive to the assumed rate of decline in institutional funding: a Base case that held foundation grants flat rather than declining 6% a year would push the crossover several years further out. None of these would change the shape of the argument - a large reserve, an episodic funding base, and a widening gap between the two - but each would change the numbers attached to it.

Basis of preparation. This is an independent analysis prepared from publicly available information for portfolio and educational purposes. It is not affiliated with, endorsed by, or reviewed by Upwardly Global, and it is not financial advice. Historical financial totals are taken verbatim from IRS Form 990 filings for FY2019 to FY2024 and impact metrics from the organization's own published reporting. Everything else - the split of expenses into functional categories, the four-program portfolio and its unit economics, the composition of the balance sheet, and every forward-looking figure - is an analyst assumption, is labelled as such in 02_Assumptions.xlsx, and does not represent the organization's plans, budget or guidance.